The lockdown dealt a severe blow to the economic outcome of 2019–20. The government decided to impose lockdown with immediate effect on 24 March 2020 when there were only about 500 people infected with COVID-19. If the lockdown had been imposed from 1 April, the economy would have been saved an avoidable hit in the last week of the financial year. As it happened, the imposition of lockdown brought the economic performance for 2019–20 to its knees.

The NSO put together provisional estimates of GDP and the national income for 2019–20 on 29 May 2020. GDP in constant prices for 2019–20 was estimated to have grown by only 4.2 per cent (later revised to 4 per cent) in place of the 5 per cent advanced estimate in January. Shaving off 0.8 per cent of growth was almost entirely on account of the losses caused by the lockdown.

2019–20 turned out to be a wasted year.

2020–21: The Worst Contraction Ever

The lockdown of the Indian economy—arguably the most stringent anywhere in the world—on 24 March 2020 brought the economy to a grinding halt. The Indian economy, which produces about Rs 33 lakh crore worth of goods and services in one quarter (in constant prices), could generate GVA of only Rs 25.6 lakh crore in the first quarter of 2020–21, contracting by about 22.4 per cent. India's labour lost about 12–13 crore jobs in the immediate aftermath of the lockdown, a reduction of about 30 per cent from the normal employment of about 40 crore. The government had to announce additional market borrowing of Rs 4.2 trillion, which was about 50 per cent higher than the entire budgeted borrowing of Rs 8 trillion.

The Indian GDP contracted by a massive 24.4 per cent in the first quarter of the financial year 2020–21. Nominal GDP declined from Rs 50.04 lakh crore in the first quarter of 2019–20 to Rs 38.89 lakh crore, which amounted to a combined loss of income of over Rs 11.5 lakh crore